

September 29, 2026

Repco Home Finance Limited: Provisional ratings assigned to PTCs backed by a pool of loan against property receivables (LAP) issued by PRATHAM 09 2026

Summary of rating action

Trust name	Instrument*	Rated amount (Rs. crore)	Rating action	Financial Sector Regulator#
PRATHAM 09 2026	Series A1 PTCs	74.02	Provisional [ICRA]AAA(SO); Assigned	RBI
	Equity Tranche PTCs	3.98	Provisional [ICRA]AA(SO); Assigned	RBI

*Instrument details are provided in Annexure I

#SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI.

Rating in the absence of pending actions/documents	No ratings would have been assigned as it would not be meaningful
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Rationale

The pass-through certificate (PTCs) are backed by a pool of loan against property (LAP) receivables originated by Repco Home Finance Limited {(RHFL/Originator; rated [ICRA]AA-(Stable)/[ICRA]A1+)} with an aggregate principal outstanding of Rs. 79.59 crore (pool receivables of Rs. 158.88 crore). RHFL would be acting as the servicer for the transaction.

The provisional ratings are based on the strength of the cash flows from the selected pool of contracts, the credit enhancement available in the structure as well as the integrity of the legal structure. The provisional ratings are subject to the fulfilment of all the conditions under the structure and ICRA's review of the documentation pertaining to the transaction.

Transaction structure

As per the transaction structure, the monthly cash flow schedule comprises the promised interest payout. The principal is expected to be paid on a monthly basis (100% of the pool principal billed) but is promised on the final maturity date. The residual cash flow from the pool, after meeting the expected payouts, will be used for the prepayment of the Series A1 PTCs principal. Any prepayment in the pool would be used for the prepayment of the Series A1 PTCs principal (and to Equity Tranche PTCs after Series A1 PTCs are fully paid off).

The credit enhancement available in the structure is in the form of (i) a cash collateral (CC) of 5.00% of the initial pool principal, amounting to Rs. 3.98 crore, to be provided by the Originator, (ii) principal subordination of 7.00% of the initial pool principal for Series A1 PTCs and 2.00% of the initial pool principal for Equity Tranche PTCs, and (iii) the EIS of 72.92% of the initial pool principal for both Series A1 PTCs and Equity Tranche PTCs.

Key rating drivers and their description

Credit strengths

Granular pool supported by presence of credit enhancement: The pool is granular, consisting of 396 contracts, with top 10 contracts forming ~9% of the pool principal, thereby reducing the exposure to any single borrower. Further, the credit enhancement available in the form of subordination, cash collateral (CC) and excess interest spread (EIS) would absorb some amount of the losses in the pool and provide support in meeting the PTC payouts.

No overdue contracts in the pool: The pool has been filtered in such a manner that there are no overdue contracts as on the Cut-off date. Further, none of the contracts in the pool have ever been delinquent post loan disbursement, thereby reflecting the borrowers' relatively better credit profile, which is a credit positive.

Healthy bureau score of borrowers: In the pool, ~86% of the borrowers (in terms of the principal amount outstanding on the cut-off date) have a CIBIL score of more than 725, which reflects their relatively better credit profile.

Adequate servicing capability of the originator – The company has an established track record in the lending business with adequate underwriting policies and collection procedures across a wide geography. The company has adequate processes for servicing of the loan accounts in the securitised pools.

Credit challenges

High geographical concentration – The pool has high geographical concentration with the top 3 states, viz. Tamil Nadu, Karnataka and Telangana, contributing ~84% to the initial pool principal amount. The pool's performance would thus be exposed to any state-wide disruption that may occur due to natural calamities, political events, etc.

Risks associated with lending business – The pools' performance would remain exposed to macro-economic shocks, business disruptions and natural calamities that may impact the income-generating capability of the borrowers and their ability to make timely repayments of their loans.

Key rating assumptions

ICRA's cash flow modelling for rating securitisation transactions involves the simulation of potential losses, delinquencies and prepayments in the pool. The losses and prepayments are assumed to follow a log-normal distribution. The assumptions for the losses and the coefficient of variation are considered on the basis of the values observed from the analysis of the past performance of the Originator's loan portfolio as well as the characteristics of the specific pool being evaluated. The resulting collections from the pool, after incorporating the impact of the losses and prepayments, are accounted for in ICRA's cash flow model, in accordance with the cash flow waterfall of the transaction.

For the current pool, ICRA has estimated the shortfall in the pool principal collection during its tenure at 3.75% of the pool principal with certain variability around it. The average prepayment rate for the underlying pool is modelled in the range of 4.8% to 18% per annum. Various possible scenarios have been simulated at stressed loss levels and prepayment rates and the incidences of default to the investor as well as the extent of losses are measured after factoring in the credit enhancement to arrive at the final rating for the instrument.

Liquidity position: Superior

The liquidity for Series A1 PTCs and Equity Tranche PTCs is superior after factoring in the credit enhancement available to meet the promised payouts to the investor. The total credit enhancement would be ~18 times the estimated loss in the pool for Series A1 PTCs and for Equity Tranche PTCs the total credit enhancement would be ~17 times the estimated loss in the pool.

Rating sensitivities

Positive factors – Not Applicable for Series A1 PTCs. For Equity Tranche - The sustained strong collection performance of the underlying pool of contracts (monthly collection efficiency >95%), leading to lower-than-expected delinquency levels, and an increase in the cover available for future investor payouts from the credit enhancement would result in a rating upgrade.

Negative factors – The sustained weak collection performance of the underlying pool (monthly collection efficiency <90%), leading to higher-than-expected delinquency levels and higher credit enhancement utilisation levels, would result in a rating downgrade. Weakening in the credit profile of the servicer (RHFL) could also exert pressure on the rating.

Analytical approach

The rating action is based on the analysis of the performance of RHFL LAP loan portfolio till June 2026, the key characteristics and composition of the current pool, the performance expected over the balance tenure of the pool, and the credit enhancement cover available in the transaction.

Analytical approach	Comments
Applicable rating methodologies	Rating Methodology for Securitisation Transactions
Parent/Group support	Not applicable
Consolidation/Standalone	Not applicable

Pending actions/documents required to be completed for conversion of the provisional rating into final

The assigned rating is provisional and would be converted into final upon the execution of:

1. Trust deed
2. Assignment agreement
3. Power of Attorney
4. Legal opinion
5. Trustee letter
6. Other key or important documents executed for the transaction

Validity of the provisional rating

The Trust is expected to complete the pending actions/execute the pending documents in the near term. However, in case of continued pendency of the actions/documents beyond one year of this publication, the provisional rating would be withdrawn for the transaction even if the instrument has been issued.

Risks associated with the provisional rating

In case the issuance is completed, but the pending actions/documents are not completed for the transaction within one year (validity period) from the assignment of the rating, the provisional rating will be withdrawn in accordance with ICRA's Policy on Provisional Ratings available at www.icra.in.

About the originator

RHFL was incorporated in May 2000 as a subsidiary of Repco Bank, with its corporate office in Chennai. As of June 2026, Repco Bank held a 37.1% stake in RHFL while other institutional (domestic and overseas) and retail investors held the balance. The company extends housing loans and mortgage loans to salaried and self-employed individuals. As of June 2026, it had a network of 210 branches, 32 satellite centres and 2 asset recovery branches across 12 states and 1 UT.

In FY2026, RHFL reported a net profit of Rs. 453 crore on a total asset base of Rs. 16,649 crore compared with a net profit of Rs. 449 crore on a total managed asset base of Rs. 15,158 crore in FY2025. The company reported a net profit of Rs. 114 crore on a total asset base of Rs. 16,599 crore in Q1 FY2027.

Key financial indicators (RHFL)

Standalone	FY2025	FY2026	Q1 FY2027
Total income	1,715	1,798	468
Profit after tax	449	453	114
Total managed assets	15,158	16,649	16,599
Return on managed assets	3.1%	2.8%	2.7%
Managed gearing (times)	3.2	3.1	3.0
Gross stage 3	3.3%	2.6%	2.7%
CRAR	37.1%	36.7%	36.1%

Source: Company, ICRA Research; All ratios as per ICRA's calculations; Amount in Rs. crore

Status of non-cooperation with previous CRA: Not applicable

Any other information: None

Rating history for past three years

S. no.	Trust name	Current rating (FY2027)			Chronology of rating history for the past 3 years		
		Instrument	Amount rated (Rs. crore)	Date & rating in FY2027	Date & rating in FY2026	Date & rating in FY2025	Date & rating in FY2024
				September 29, 2026			
1	PRATHAM 09 2026	Series A1 PTCs	74.02	Provisional [ICRA]AAA(SO)	-	-	-
		Equity Tranche PTCs	3.98	Provisional [ICRA]AA (SO)	-	-	-

Complexity level of the rated instrument

Instrument	Complexity indicator
Series A1 PTCs	Highly Complex
Equity Tranche PTCs	Highly Complex

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: [Click here](#)

Annexure I: Instrument details

Trust name	Instrument name	Date of issuance/ Sanction	Coupon rate (p.a.p.m.)	Maturity date	Amount rated (Rs. crore)	Current rating	Financial Sector Regulator#
PRATHAM 09 2026	Series A1 PTCs	September 25, 2026	7.95%*	February 17, 2045	74.02	Provisional [ICRA]AAA(SO)	RBI
	Equity Tranche PTCs		-		3.98	Provisional [ICRA]AA(SO)	RBI

Source: Company; *Fixed

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Annexure II: List of entities considered for consolidated analysis

Not applicable

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Today, ICRA and its subsidiaries together form the ICRA Group of Companies (Group ICRA). ICRA is a Public Limited Company, with its shares listed on the Bombay Stock Exchange and the National Stock Exchange. The international Credit Rating Agency Moody's Investors Service is ICRA's largest shareholder.

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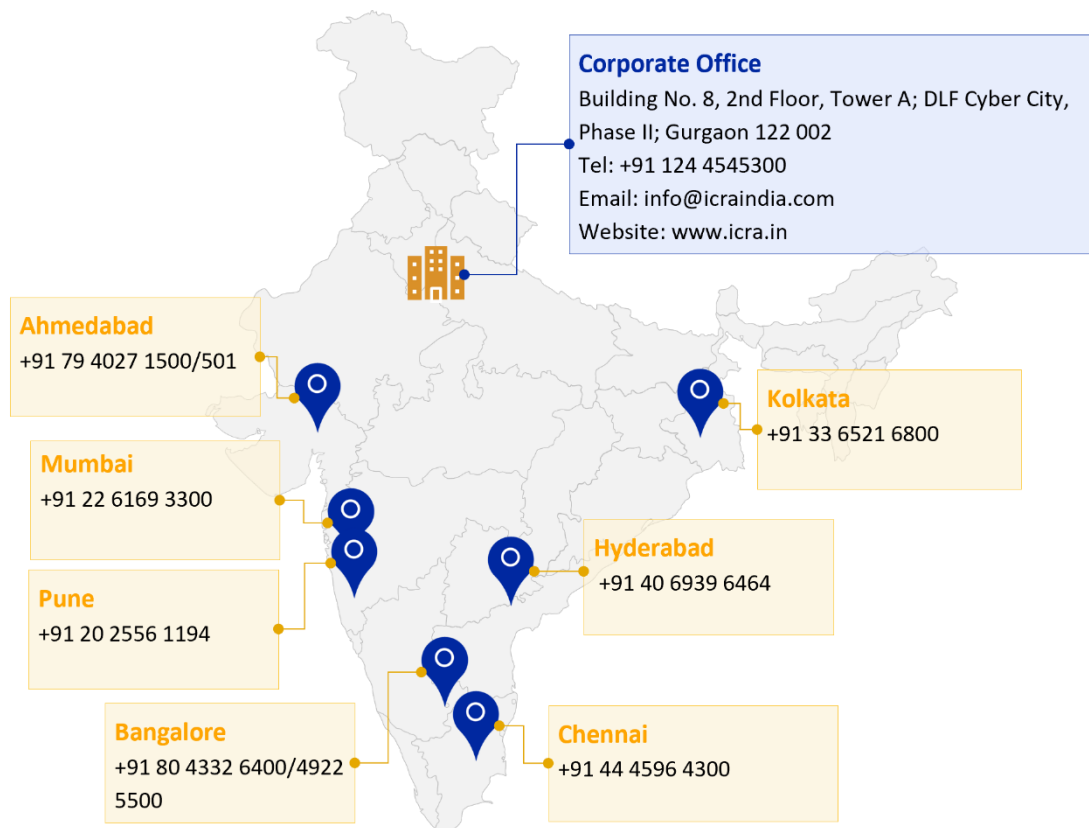


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